

SOR Breakdown & Summary Definitions

Internal Item	describes a unit or an option purchased from a TLD company
<i>Base Unit</i>	product type
<i>Option</i>	option
External Item	describes an article, service or expense directly related to a sale and purchased from a non-TLD company
<i>Agent Commission</i>	Commission paid to an agent as a % of the sale contract. This commission will be deducted when calculating the margin – to be filled only if the commission does not fall under the Indirect Cost category, according to the TLD procedures – see <i>below</i> Sales Margin definition. DO NOT INDICATE IN THE DESCRIPTION OF THIS EXTERNAL ITEM THE % OF COMMISSION BECAUSE IT IS A PUBLIC FIELD AND IT IS A CONFIDENTIAL FINANCIAL INFORMATION
<i>Components</i>	Other components of the order not purchased internally and not spare parts (e.g. commercial truck chassis for truck-mounted units, subcontracting of the assembly of the chassis with the unit, subcontracting painting etc.)
<i>Misc. items</i>	Category to cover all other possibilities not covered by other categories. Description should always be provided and be consistent with the Sales Margin definition
<i>Spare Parts</i>	Spare parts
<i>Special Discount</i>	Discounts given to the customer and not included in the selling price of the unit (e.g. year end rebates)
<i>Taxes & Duties</i>	Taxes, custom duties and similar
<i>Transportation</i>	Transportation costs (best estimates if no quotation available)
Internal Item Prices	
<i>Published TP</i>	Transfer price as published by the Factory; in the currency of the factory
<i>Negotiated TP</i>	Transfer price actually negotiated between Factory and Sales organization – in the currency negotiated
<i>Published Price List</i>	Recommended Selling Price, i.e. Published TP / 0,90 – in the currency of the factory
<i>Actual Sales Price</i>	Actual selling price to the customer, in the currency of the sale
External Item Prices	
<i>Cost</i>	Purchase cost of the item
<i>Sales Price</i>	Selling cost of the item

Summary Section

<i>Quantity</i>	Quantity of the units sold (all units must exactly the same)
<i>Unit Gross Selling Price</i>	Total of the selling prices of External Items (<i>Sales Price</i>) and Internal Items (<i>Actual Sales Price</i>)
<i>Total Gross Selling Price</i>	Unit Gross Selling Price x Quantity
<i>Unit Net Selling Price</i>	Unit Gross Selling Price – Cost of all External Items except Costs of Spare Parts and Components
<i>Total Net Selling Price</i>	Unit Net Selling Price x Quantity
<i>Customer Discount</i>	[Total of Published Price List + sum of External Item Costs] – [Unit Gross Selling Price]
<i>Customer Discount %</i>	Customer Discount / [Total of Published Price List + sum of External Item Costs]
<i>Factory Discount</i>	Published TP - Negotiated TP
<i>Factory Discount %</i>	Factory Discount / Published TP
<i>Unit Cost</i>	Total of Negotiated TP and sum of all External Items Costs
<i>Total Cost</i>	Quantity x Unit Cost
<i>Unit Margin</i>	Unit Gross Selling Price – Unit Cost
<i>Unit Margin %</i>	Unit Margin / Unit Net Selling Price
<i>Total Margin</i>	Unit Margin x Quantity

Reminder: Sales Margin definition per Group rules:

“Net Sales shall be defined as “Total Sales” minus:

- Actual transportation costs (at the time the margin analysis is performed, it should be based on quotations from transportation companies or on our best estimate);
- Custom duties and similar expenses;
- Commissions paid to our Agents except the commissions and bonuses paid to Integrated Agents. An Integrated Agent is an agent that typically:
 - has a TLD email address;
 - has a TLD business card;
 - receives a regular fee or payment for his sales activity.

The Sales entities will provide and update when need be the list of their Integrated Agents.

- Commissions paid to external parties for services that do not enter into the normal TLD practice, for instance fees paid to external auditors for technical reception. Otherwise, it shall be considered as outsourcing of TLD normal activity; in the particular fees and commissions

paid for after-sales support should be accounted as indirect costs, under Indirect Labour Technical Management

- Yearly discounts and rebates based on either the actual rebate (e.g. 3 % rebate on the 11th unit sold → nothing in the margin analysis of the first 10 units, but 3 % discount on the margin analysis of the 11th unit) or based on the estimated percentage if the calculation is made at year end (e.g. 3 % rebate on the total annual sales if the total is higher than 5 million €). If at the time of the margin calculation we think the threshold will be reached then the rebate is taken into account in the margin calculation.
- Cost of spare parts or other special equipment included in the Total Sales price;

Commercial Margin (margin on direct cost) is equal to the difference between Net Sales and the cost of the unit and the spare parts. For truck-mounted units, the cost of the unit includes purchase of chassis and installation costs (but only to the extent the costs are directly linked to the unit considered. Long term rental of facilities, for instance, shall not be deducted from the margin but accounting for in Indirect Costs).

For clarification purposes:

- Expenses linked to factory visit shall be accounted for as Selling Expenses;
- Training and commissioning expenses shall always be accounted for as Selling Expenses;
- Interco sleeping Commissions shall not be deducted from the margin analysis;
- Special bonus & incentive to the Sales managers shall be accounted for as Selling Expenses."